

Example: Between August 1928 and February 1929 American and Foreign Power Company common stock advanced from 33 to 138^{7/8}, although paying no dividend. Rights were offered to the common stockholders (and other security holders) to buy second preferred stock with detached stock-purchase warrants. The offering of these rights, which had an initial market value of about \$3 each, was construed by many as the equivalent of a dividend on the common stock.

Exaggeration of Book Value. The exaggeration of book value may be effected in cases where a holding company owns most of the shares of a subsidiary and where consequently an artificially high quotation may readily be established for the subsidiary issue by manipulating the small amount of stock remaining in the market. This high quotation is then taken as the basis of figuring the book value (sometimes called the "break-up value") of the share of the holding company. For an early example of these practices we may point to Tobacco Products Corporation (Va.) which owned about 80% of the common stock of United Cigar Stores Company of America. An unduly high market price seems to have been established in 1927 for the small amount of Cigar Stores stock available in the market, and this high price was used to make Tobacco Products shares appear attractive to the unwary buyer. The thoroughly objectionable accounting and stock dividend policies of United Cigar Stores, which we have previously discussed, were adjuncts to this manipulative campaign.

The most extraordinary example of such exaggeration of the book value is found, perhaps, in the case of Electric Bond and Share Company and was founded on its ownership of most of the American and Foreign Power Company warrants. The whole set-up seems to have been contrived to induce the public to pay absolutely fantastic prices without their complete absurdity being too apparent. A brief review of the various steps in this phantasmagoria of inflated values should be illuminating to the student of security analysis.

First, American and Foreign Power Company issued in all 1,600,000 shares of common and warrants to buy 7,100,000 more shares at \$25. This permitted a price to be established for the common stock that generously capitalized its earnings and prospects but paid no attention to the existence of the warrants. The quotation of the common was aided by the issuance of rights, as explained above.